

federal tax, but if you live where there's a state or local income tax, you'll have to pay these taxes on all or most of your dividend income. In most cases, federal tax-exempt funds invest in the securities of a number of issuers and in a number of different regions, in an effort to reduce risk through diversification.

- » *Double tax-exempt money funds* invest in money market instruments issued by a single state (or by counties, cities, towns, or utilities) and pay dividends that are exempt from both federal *and* state income taxes, as long as you're a resident of that state. Because such funds are not able to invest in the securities of as many issuers in as many regions, they may be somewhat riskier than multistate federal tax-exempt money funds.
- » *Triple tax-exempt* money funds may be right for you if you live in a city like New York or Philadelphia where residents pay income tax not only to the IRS but to the state and city as well. These funds are similar to double tax-exempt money funds but restrict their investments to a single city, not just a single state. Although they offer a triple tax break (federal, state, and local) for residents of that city, such funds are even less diversified (and thus a bit riskier) than double tax-exempt money funds.

Taxes and Money Funds

Remember, if you want to go with the absolutely safest type of money fund, choose a U.S. Treasury money fund. If you're willing to take a little bit more risk, the main thing to focus on is the yield—or to be more precise, what's left of the yield after you pay your income taxes. For this reason, as I suggested above, your choice of a money fund may be influenced by your